Module 1: Marketing Concepts

Dr Anand Bharathi S

VIT Business School

VIT Vellore

Introduction to Marketing

Definition

- Marketing is the process of identifying customer needs and wants, creating products or services that satisfy those needs, communicating value to customers, and building long-term relationships that benefit both the organization and its customers.

Objectives

- Understand customer needs.
- Deliver superior customer value.
- Build customer satisfaction.
- Develop long-term relationships.
- Achieve organizational goals.

Marketing Philosophies (Concepts)

Approx. Year	Marketing Concept
1900s	Production Concept
1920s	Product Concept
1930s	Selling Concept
1950s	Marketing Concept
1970s	Societal Marketing Concept
1980s	Relationship Marketing
1990s	Customer Relationship Management (CRM)
2000s	Holistic Marketing Concept
2010s	Digital Marketing
2020s	AI-Driven Marketing

Core Marketing Concepts

- Needs
- Wants
- Demand
- Products and Services
- Customer Value
- Customer Satisfaction
- Exchange
- Markets

Marketing of Services

Definition

- Service marketing refers to the marketing of intangible products that are created and consumed simultaneously.

Characteristics of Services

- Intangibility
- Inseparability
- Variability
- Perishability

Examples

- Banking
- Healthcare
- Education
- Hospitality
- Insurance

Importance of Marketing in the Service Sector

- Builds customer relationships.
- Creates service awareness.
- Enhances customer satisfaction.
- Differentiates services from competitors.
- Encourages customer loyalty.

Marketing Planning

Definition

- Marketing Planning is the systematic process of setting marketing objectives and developing strategies to achieve organizational goals.

Objectives

- Identify market opportunities.
- Understand customer needs.
- Allocate resources effectively.
- Improve organizational performance.

Marketing Planning Process

Steps

- Analyze the current situation.
- Identify marketing opportunities.
- Set marketing objectives.
- Develop marketing strategies.
- Implement marketing programs.
- Monitor and evaluate performance.

Benefits

- Better decision-making
- Efficient resource utilization
- Improved marketing performance

Marketing Environment

Definition

- The Marketing Environment consists of internal and external factors that influence an organization's ability to serve customers effectively.

Major Components

- Internal Environment
- External Environment

External Environment Includes

- Economic Environment
- Political Environment
- Technological Environment
- Social Environment

Macro Environment

Definition

- The Macro Environment consists of external forces that influence an organization's marketing decisions but are beyond its direct control.

Major Components

- Economic Environment
- Political Environment
- Technological Environment
- Social Environment

Importance

- Identifies market opportunities
- Anticipates environmental changes
- Supports strategic planning
- Reduces business risks

Economic Environment

Definition

- The Economic Environment refers to economic conditions that influence consumer purchasing power and business operations.

Key Factors

- Inflation
- Interest rates
- Income levels
- Employment
- Economic growth

Impact on Marketing

- Changes customer spending
- Influences pricing decisions
- Affects product demand
- Impacts business profitability

Political Environment

Definition

- The Political Environment includes government policies, laws, and regulations that influence marketing activities.

Key Components

- Government policies
- Taxation
- Consumer protection laws
- Competition regulations
- Trade policies

Importance

- Ensures legal compliance
- Protects consumers
- Promotes fair competition
- Influences marketing strategies

Technological Environment

Definition

- The Technological Environment includes innovations and technological developments that influence products, services, and marketing practices.

Examples

- Artificial Intelligence (AI)
- E-commerce
- Mobile applications
- Automation
- Digital payment systems

Benefits

- Improves efficiency
- Enhances customer experience
- Supports innovation
- Creates competitive advantage

Social Environment

Definition

- The Social Environment refers to social and cultural factors that influence consumer behaviour and purchasing decisions.

Key Factors

- Culture
- Lifestyle
- Education
- Population
- Family
- Social values

Importance

- Understand customer preferences
- Develop suitable marketing strategies
- Improve customer satisfaction

Consumer Behaviour

- **Definition**
- Consumer Behaviour is the study of how individuals or groups select, purchase, use, and dispose of products and services to satisfy their needs and wants.
- **Objectives**
- Understand customer decision-making
- Identify customer preferences
- Improve marketing strategies
- Increase customer satisfaction

Determinants of Consumer Behaviour

Major Determinants

- Personal needs
- Motivation
- Perception
- Learning
- Attitudes
- Lifestyle

Factors Influencing Consumer Behaviour

- **Factors Influencing Consumer Behaviour**

Consumer purchasing decisions are influenced by multiple external and internal factors.

Major Factors

- **Cultural:** Traditions and customs.
- **Social:** Family and friends.
- **Personal:** Age, occupation, income.
- **Psychological:** Motivation and perception.

Consumer Buying Decision Process

- **Consumer Buying Decision Process**

Consumers generally follow a sequence of steps before making a purchase.

Stages

- Need Recognition
- Information Search
- Evaluation of Alternatives
- Purchase Decision
- Post-Purchase Behaviour

Market Segmentation

Definition

- Market Segmentation is the process of dividing a broad market into smaller groups of customers who have similar needs, characteristics, or buying behaviour.

Objectives

- Identify customer groups.
- Understand customer needs.
- Develop suitable marketing strategies.
- Improve customer satisfaction.

Importance

- Better understanding of customers
- Efficient use of marketing resources
- Improved customer satisfaction
- Higher marketing effectiveness

Meaning and Concept of Market Segmentation

Meaning

- Market Segmentation recognizes that customers are not identical. Different groups have different needs, preferences, purchasing power, and buying behaviour.

Concept

- Organizations divide markets into homogeneous groups and develop marketing programs suitable for each segment.

Benefits

- Better product offerings
- Improved communication
- Increased customer satisfaction
- Competitive advantage

Bases of Market Segmentation

Geographic Segmentation

- Country
- State
- City
- Climate

Demographic Segmentation

- Age
- Gender
- Income
- Education
- Occupation

Psychographic Segmentation

- Lifestyle
- Personality
- Values
- Interests

Behavioural Segmentation

- Usage rate
- Loyalty
- Benefits sought
- Purchase behaviour

Selection of Segments

Selection of Target Segments

- After identifying market segments, organizations evaluate and select the most attractive segments to serve.

Selection Criteria

- Segment size
- Growth potential
- Profitability
- Accessibility
- Competitive intensity
- Organizational capabilities

Market Segmentation Strategies

Market Segmentation Strategies

- Organizations adopt different strategies depending on business objectives and available resources.

Benefits

- Better customer satisfaction
- Efficient resource utilization
- Improved competitive advantage

Undifferentiated Marketing

- One marketing strategy for the entire market.

Differentiated Marketing

- Different marketing strategies for different market segments.

Concentrated Marketing (Niche)

- Focus on one specific market segment.

Micromarketing

- Customized marketing for individual customers or small groups.

Target Marketing

Definition

- Target Marketing is the process of selecting one or more market segments and developing products and marketing programs specifically for those segments.

Steps

- Segment the market.
- Evaluate market segments.
- Select target markets.
- Develop marketing strategies.

Benefits

- Better customer focus
- Higher marketing efficiency
- Increased customer satisfaction
- Improved profitability

Product Positioning

Definition

- Product Positioning is the process of creating a distinct image and value proposition for a product in the minds of target customers relative to competing products.

Objectives

- Differentiate products
- Build brand identity
- Increase customer preference
- Create competitive advantage

Positioning Approaches

- Based on quality
- Based on price
- Based on features
- Based on benefits
- Based on users

STP Process (Segmentation – Targeting – Positioning)

Step 1 – Segmentation - Divide the market into groups.

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Step 2 – Targeting - Select the most attractive market segment(s).

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Step 3 – Positioning - Create a unique position in customers' minds.

Elements of the Marketing Mix (4Ps)

Definition

- The Marketing Mix is a set of controllable marketing variables that organizations use to satisfy customer needs and achieve marketing objectives.

Importance

- Supports marketing planning
- Creates customer value
- Helps achieve competitive advantage

The 4Ps of Marketing

Product

- The goods or services offered to customers.

Price

- The amount customers pay for the product.

Place

- The channels through which products reach customers.

Promotion

- Communication activities used to inform and persuade customers.

Extended Marketing Mix (7Ps)

Extended Marketing Mix

As service industries expanded, three additional elements were added to the traditional 4Ps.

Additional Elements

- **People -** Employees and customers involved in service delivery.
- **Process -** Procedures and workflows used to deliver products or services efficiently.
- **Physical Evidence -** Tangible elements that support the service experience, such as facilities, websites, packaging, or branding.

Why the 7Ps Matter

- Improve service quality.
- Enhance customer experience.
- Build stronger customer relationships.

Integration of Marketing Concepts

Marketing Flow

1. Customer Needs
2. Marketing Planning
3. Environmental Analysis
4. Consumer Behaviour
5. Market Segmentation
6. Target Marketing
7. Product Positioning
8. Customer Satisfaction